

spot interesting companies in their own backyard. You've probably never even heard of most of these firms—names like Hanifen, Imhoff; Volpe, Welty; Johnston-Lemon; the Buckingham Research Group; Principal Financial Securities; Cleary Gull Reiland & McDewitt; and Adams Harkness & Hill. We also work with brokers in London, Frankfurt, Tokyo, Hong Kong, and other foreign centers. And when we're sold on a company, we buy thousands of shares of its stock, which means we get more attention—from brokers, investment bankers, and companies—than you as an individual could possibly command unless your name is Bill Gates.

A Guide Recommended

Investing in foreign stocks is particularly hard to do on your own. You may know a good deal about what's happening around your town that could lead to investment ideas, but you probably aren't up to date about what's going on in Finland, and even if you're fine in Finland, I'd be very surprised if you also know what's transpiring in Thailand. And even if you know a lot about countries, you'll find it tough to find out about companies that you can invest in. You can usually manage to scrape up most of the information you want on U.S. companies, but overseas it can be tough to find out even the basics.

A couple of years ago, to build our files, we wrote to several hundred companies abroad, asking them to send us their annual and interim reports. We got about a 15 percent response rate. Companies over there may not even have someone who's responsible for shareholders and potential shareholders—no one had been designated to open investors' letters. The only way to secure reports in many countries is to write or call the particular broker who handles the company's investor inquiries.

Information is only one of the problems when you look abroad, and all of the problems are exaggerated when you deal in emerging